

[*267] bond in the mean time. *What passed in the interval between to the death of Donnithorne does not appear. If it were necessary to decide the point, an inquiry before the Master must be directed" (a). Sir W. Grant dismissed the bill, which was to set aside (as having been fraudulently obtained) a compromise of the alleged breach of trust, but did so on grounds foreign to the subject under discussion; Lord Eldon, however, before whom the case was brought upon appeal, reversed Sir W. Grant's decree, and directed an inquiry by the Master as to the conduct of the trustees from January, 1791, when the mortgage was paid off, to 1796, the time of Donnithorne's death. It then appeared by the Master's report, made in pursuance of the order, that the money had been invested by Donnithorne, soon after he had received it, in East India bills *payable to himself*; that the money due on the bills had been discharged in 1793, and the money paid to Donnithorne; that the co-trustees had made no inquiry about the trust fund from January, 1791, till May, 1795, which was the time when Symonds wrote the letter and made the applications already stated. On the hearing of the cause upon further directions, Lord Eldon said, "The cause comes back with a report stating a clear breach of trust in leaving the trust-fund in the situation represented from 1791 to 1793, and from 1793 to 1795. The money was laid out in 1791, with the consent of the trustees, on India bills *payable to Donnithorne*, a palpable breach of trust by placing the fund under his control, secured by little more than a promissory note payable to himself. It was probable that in 1793 Donnithorne would be paid the money due on the bills, and it would be lodged in his hands; and although the Court will proceed as favourably as it can to trustees who have laid out the money on a security from which they cannot with activity recover it, yet no Judge can say they are not guilty of a breach of trust, if they suffer it to lie out on such a security during so long a time (b). The trustees were guilty of a breach of trust, in permitting the money to remain on bills

(a) 3 Sw. 41.

(b) 3 Sw. 65.